

Colorado

GENERAL INFORMATION

1. Colorado **maintains** a list of eligible surplus lines insurers. (See Other Comments Section #3.)
2. Colorado **does** have a Surplus Lines Association (see Other Comments section #4).
3. Colorado **does not** maintain an Export List (see Other Comments section #5).
4. Colorado **does** have an industrial insured exemption (see Appendix C) which will remain in effect and also recognizes the exempt commercial purchaser exemption under NRRA although it is not yet codified.
5. **Surplus lines tax:** 3% plus, 0.175% SLAS Clearinghouse transaction fee.
6. Colorado has not adopted legislation authorizing the state to participate in any tax sharing agreement.
7. Colorado **does not** allow the formation of domestic surplus lines insurers in the state.

ELIGIBILITY AND FILING REQUIREMENTS (ALL INSURERS)

Application and **fees** as set forth below are **voluntary** if company wishes to be included on eligibility list:

1. **Filing Fee:** non-refundable filing fee of \$1,095 if company's Colorado premium is \$1,000,000 or less; \$4,260 if \$1,000,001 to \$10,000,000; \$5,595 if \$10,000,001 and over. (see Other Comments section #10).
2. The application Form F is updated twice annually, on January 1 and July 1 (fees change). Applications received between January 1 and June 30 are required to have a January 1 current year update on the bottom of the Form F. Applications received between July 1 – December 31 are required to have a July 1 current year update at the bottom of the Form F. The application Form F is available on the Division's website for each renewal and for new company applications, which may be accessed here:
<https://doi.colorado.gov/insurance-industry/insurance-companies/insurer-regulatory-forms-filings>
3. **Other items** determined to be necessary by the Commissioner as warranted by any special circumstances.
4. **Gross premium report:** per correspondence with the Colorado DOI, the gross premium report is not required at this time due to the NRRA; however, it may be required in the future.
5. Except for gross premium report, all requalification filings must be mailed to Colorado DOI via postal service or overnight mail. Electronic filings will not be accepted.

ELIGIBILITY AND FILING REQUIREMENTS (ALIEN INSURERS ONLY)

1. No filings required if company is on the Quarterly Listing of Alien Insurers maintained by the International Insurers Department of the NAIC.
2. Filing fee required if company wishes to be included on Colorado's eligibility list.

ELIGIBILITY AND FILING REQUIREMENTS (FOREIGN INSURERS ONLY)

1. **Capital and Surplus:** \$15,000,000.
2. **Licensed in home state**
3. **Certificate of Authority/Compliance** which must specify authorized lines in the state of domicile or port of entry.
4. The annual statement is required to be filed electronically with the NAIC.
5. In the case of an insurance exchange, provide evidence that the exchange meets the requirements of Colo. Rev. Stat. § 10-15-108(1)(b)(11).

TYPES OF INSURANCE EXEMPTED FROM SURPLUS LINES PLACEMENT REQUIREMENTS, HOWEVER, THESE TYPES OF INSURANCE ARE SUBJECT TO SURPLUS LINES PREMIUM TAX AND REPORTING

1. Insurance on vessels or crafts or their hulls or cargoes or on marine builders' risks or marine protection and indemnity or other risks, including strikes and war risks commonly insured under ocean or wet marine forms of policy.
2. Insurance on subjects located, resident, or to be performed wholly outside Colorado or on vehicles or aircraft owned and principally garaged outside Colorado.
3. Insurance on the operations of railroads engaged in transportation in interstate commerce and their property used in such operations.
4. Insurance on aircraft owned or operated by manufacturers of aircraft or on aircraft operated in commercial scheduled interstate flight or the cargo of such aircraft or against liability, other than workers' compensation and employers' liability, arising out of the ownership, maintenance, or use of such aircraft.
5. Insurance on satellites or other devices intended for launch beyond the earth's atmosphere.

OTHER COMMENTS OR REQUIREMENTS

1. Brokers placing exempted coverages above are required to keep a full and true record, for not less than three years, of each such coverage in the same detail as required for surplus lines insurance. The record must be kept available in Colorado for examination by the Commissioner of Insurance.
2. The Commissioner of Insurance may approve insurance pools, underwriting associations or other programs on a non-admitted basis.

3. “Approved” list may be obtained from the Dept.’s website: <https://doi.colorado.gov/insurance-industry/producers/agents/surplus-lines-information-for-agents/agencies/producers/brokers>.
4. The Surplus Lines Association of Colorado is not gathering tax data on behalf of the Colorado DOI but otherwise continues to be active on a local and national level. Contact information is as follows:

John Wethey

Surplus Lines Association of Colorado

3570 E. 12th Avenue

Denver, Colorado 80206

Tel.: (303) 331-9399

Fax.: (303) 331-9006

E-mail: surplusline@earthlink.net

The Association also maintains a website at www.colosla.org.

5. Although Colorado does not have an export list, there is a provision that relieves the due diligence requirement with respect to placements made on behalf of “exempt commercial policyholders” as defined under Colo. Rev. Stat. § 10-4-1402 of the Colorado Insurance Laws. (see Other Comments Section #9).
6. All surplus lines insurance contracts must include the following:

“This contract is delivered as surplus line coverage under the Nonadmitted Insurance Act. The insurer issuing this contract is not licensed in Colorado but is an eligible nonadmitted insurer. There is no protection under the provisions of the Colorado Insurance Guaranty Association Act.”

If the policy is written on a claims-made basis, the following must also appear on the policy:

“This policy is a claims-made policy which provides liability coverage only if a claim is made during the policy Period or any applicable extended reporting Period.”

If an automobile policy does not provide the basic complying policy coverages under Colo. Rev. Stat. § 10-4-620, C.R.S. the following must appear on the policy:

“This policy does not meet the statutory requirements of this State’s financial responsibility laws. It does not provide liability coverage for bodily injury and property damage.”

The provisions of Colo. Rev. Stat. § 10-5-101.5 (1)(b) shall apply to policies of disability, property and casualty insurance issued or delivered in this state by an unauthorized insurer affording coverage only on property located temporarily or permanently, or operations conducted temporarily or permanently outside the boundaries of the United States of America, its territories or possessions when the policy is placed by licensed property and casualty producers or brokers of this state, who shall remain responsible for verifying that the insuring company is licensed or authorized by the appropriate regulatory bodies to transact the business of insurance in that jurisdiction, and contains the following disclaimer:

“This policy is issued by an insurance company that is not regulated by the Colorado Division of Insurance. The insurance company may not provide claims service and may not be subject to service of process in Colorado. If the insurance company becomes insolvent, insureds or claimants will not be eligible for protection under Colorado insurance law.”

These required disclosures must be affixed to the declaration page of the contract given to the insured. A copy, bearing the disclosures, must also be maintained by the broker. In the case of the issuance of a binder prior to the formal policy, such disclosure must also appear on the binder.

7. Per an insurance bulletin, the Colorado DOI has clarified that if an insured is headquartered in Colorado, but has locations in other states, 100% of the tax is payable to Colorado.
8. Per HB 1119, for policies effective on January 1, 2025, Colorado now requires all “taxes, penalties, fines, fees, and associated filings” be submitted to the division of insurance through a secure web-based application system identified by the division of insurance (HB 1119).
9. In November 2024, the Colorado DOI adopted a regulation relating to diligent search requirements in the state. Unlike other states, and effective January 2025, 3 Colo. Code Regs. 702-2-4-1 § 7 provides that if “the broker can attest in writing that they are familiar with the insurance market and that a particular risk cannot be placed in the admitted market, or the broker has accepted an affidavit by the producer attesting to such, then the requirement to satisfy due diligence by documentation that the coverage required was not procurable after a comprehensive search was made from a minimum of three admitted insurers shall be waived.”
10. Per correspondence with the Colorado DOI, effective July 1, 2025, filing fees include non-refundable filing fee of \$920 if company’s Colorado premium is \$1,000,000 or less; \$4,440 if \$1,000,001 to \$10,000,000; or \$5,775 if \$10,000,001 and over.

Contact Our Insurance + Reinsurance Team

CONTACT US